



Buckholz, Caldwell
Commercial Appraisals



APPRAISAL OF:

Mill Road
Broadview Heights, Ohio 44147

Prepared For:

Christopher Coad
Director of Business Services
Brecksville-Broadview Hts. City School District
6638 Mill Road
Brecksville, Ohio 44141

Prepared By:

Douglas J. Firca, MAI
Buckholz, Caldwell Commercial Appraisals
377B Lear Road, Suite 171
Avon Lake, Ohio 44012

Effective Date:

August 30, 2018

Date Photographed:

August 30, 2018

Date of the Report:

September 5, 2018

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LETTER OF TRANSMITTAL

September 5, 2018

Christopher Coad
Director of Business Services
Brecksville-Broadview Hts. City School District
6638 Mill Road
Brecksville, Ohio 44141

Re: Mill Road
Broadview Heights, Ohio 44147

Dear Mr. Coad:

In accordance to your request a(n) appraisal report has been developed for the above referenced property, which is summarized as follows. The subject consists of vacant land with frontage on W. Mill and E. Wallings Roads. The site has dual zoning with sections located in residential and community development districts. The attached report provides the data and reasoning for developing all opinions and conclusions and the purpose of this appraisal is to provide the client with an opinion of the:

- Current “As-Is” opinion of market value of the Fee Simple interest of the subject property as of August 30, 2018. The intended use of the report is for financial planning purposes.

No other use or users are intended. This report has been prepared in accordance with the generally accepted appraisal standards as set forth by the Appraisal Subcommittee of the Federal Financial Institution Examination Council and the Appraisal Foundation. If the Letter of Transmittal is separated from the attached appraisal of the above referenced property, all opinions of value may be rendered invalid at the appraiser’s discretion. The use of the Letter of Transmittal & appraisal report constitutes the acceptances of the Scope of Work, all General Assumptions, Limiting Conditions, Extraordinary Assumptions and Hypothetical Conditions discussed in the attached report.

LETTER OF TRANSMITTAL

Extraordinary Assumptions

- Although the site has some areas of sloping topography, the flood map provided by FEMA indicates the subject is not in an adverse flood plain. Therefore, this report and all opinions of value are based on the extraordinary assumption the subject is not encumbered by wetlands as of the effective date of this report.

Hypothetical Conditions

- There are no hypothetical conditions for this appraisal.

Reliance on assumptions, if applicable, may impact assignment results. This report is prepared in conformity with the Uniform Standards of Professional Appraisal Practice (USPAP). Based on all analyses, the following opinions of value(s) documented and qualified in the attached report under prevailing conditions of the effective date(s) are summarized as follows:

Current "As-Is" opinion of market value of the Fee Simple interest as of August 30, 2018
\$710,000
Seven Hundred Ten Thousand Dollars

Respectfully submitted,



Douglas J. Firca, MAI
Buckholz, Caldwell Commercial Appraisals
Certified General Real Estate Appraiser
Ohio License: 2005003714

SUMMARY OF SALIENT FACTS & CONCLUSIONS

Subject Identification:

Property location: Mill Road
Broadview Heights, Ohio
44147

Parcel number(s): 582-10-001 582-11-016

Report Dates:

Effective date: August 30, 2018
Date photographed: August 30, 2018
Date of the report: September 5, 2018

Site Information:

Gross lot size: 26.6240 acres; 1,159,742 square feet
Net lot size: 26.2577 acres; 1,143,786 square feet
Zoning: A-1, Single-Family Dwelling & D-1, Community
Frontage: W. Mill Road: 531 feet
E. Wallings Road: 44 feet
Flood zone: Zone X
Flood map number: 39035C0309E
Flood map date: December 3, 2010
Highest & Best Use as Vacant: Development of a legally permissible use

SUMMARY OF SALIENT FACTS & CONCLUSIONS

The purpose of this report is to provide the client with an opinion of the:

- Current “As-Is” opinion of market value of the Fee Simple interest of the subject property as of August 30, 2018.

Subject to all General Assumptions & Limiting Conditions, Extraordinary Assumptions and Hypothetical Conditions.

Approach Conclusions:	As Is
Sales Comparison Approach:	
As vacant: (Land only)	\$710,000
As improved:	N/A
Cost Approach:	N/A
Income Capitalization Approach:	N/A

Reconciled Value(s):	As Is
Market Value Conclusion(s):	\$710,000
Effective Date:	August 30, 2018
Property Rights Appraised:	Fee Simple

SUBJECT PHOTOGRAPHS

Date Photographed: August 30, 2018

Mill Road
Broadview Heights, Ohio 44147



Subject site



Subject site



Subject site



Subject site

Mill Road
Broadview Heights, Ohio 44147



Subject site; frontage along Wallings Rd.



W. Mill Road; north



W. Mill Road; south

This is an Appraisal Report as defined by Uniform Standards of Professional Appraisal Practice under Standards Rule 2-2(a). This format provides a summary or description of the appraisal process, subject and market data and valuation analyses. Supporting documentation concerning the data, reasoning, and analyses is retained in the appraiser's file. The depth of discussion contained in this report is specific to the needs of the client and for the intended use stated below. The appraiser is not responsible for unauthorized use of this report.

Client: Christopher Coad
Director of Business Services
Brecksville-Broadview Hts. City School District
6638 Mill Road
Brecksville, Ohio 44141

Appraiser: Douglas J. Firca, MAI
Buckholz, Caldwell Commercial Appraisals
377B Lear Road, Suite 171
Avon Lake, Ohio 44012

Subject Mill Road
Broadview Heights, Ohio 44147
582-10-001 & 582-11-016

PURPOSE OF THE APPRAISAL

The purpose of this report is to provide the client with an opinion of the:

- Current "As-Is" opinion of market value of the Fee Simple interest of the subject property as of August 30, 2018.

INTENDED USE & USER OF THE REPORT

The intended use of this report is to assist Christopher Coad, the client, for financial planning purposes. No other use or users are intended. The appraiser is not responsible for unauthorized uses of this report and will be rendered invalid if separated from the Letter of Transmittal.

EFFECTIVE DATE & DATE OF THE REPORT

All opinions of value and final reconciliation are only valid as of the effective date of this report, which is August 30, 2018. The subject property was photographed on August 30, 2018. The date of the report in which the report was prepared is September 5, 2018.

CERTIFICATION OF APPRAISAL

I certify that, to the best of my knowledge and belief:

- The statements of fact contained in this report are true and correct.
- The reported analyses, opinions, and conclusions are limited only by the reported assumptions and limiting conditions, extraordinary assumptions and hypothetical conditions and are my personal, impartial, and unbiased professional analyses, opinions, and conclusions.
- I have no present or prospective interest in the property, which is the subject of this report, and no personal interest with respect to the parties involved.
- I have not performed any prior services regarding the subject within the previous three years of the appraisal date.
- I have no bias with respect to the property, which is the subject of this report, or to the parties involved with this assignment.
- My engagement in this assignment was not contingent upon developing or reporting predetermined results.
- My compensation for completing this assignment is not contingent upon the development or reporting of a predetermined value or direction in value that favors the cause of the client, the amount of the value opinion, the attainment of a stipulated result, or the occurrence of a subsequent event directly related to the intended use of this appraisal.
- The reported analyses, opinions, and conclusions were developed, and this report has been prepared, in conformity with the requirements of the Code of Professional Ethics & Standards of Professional Appraisal Practice of the Appraisal Institute, which include the Uniform Standards of Professional Appraisal Practice.
- The use of this report is subject to the requirements of the Appraisal Institute relating to review by its duly authorized representatives.
- The subject consists of vacant land and the site was visually observed and photographed. Of the undersigned, Douglas J. Firca, MAI visually observed the subject property on the effective date of this report.
- No one other than the undersigned provided significant real property appraisal assistance to the person(s) signing this certification.

CERTIFICATION OF APPRAISAL

- As of the date of this report, Douglas J. Firca, MAI has completed the continuing education program for Designated Members of the Appraisal Institute.
- As of the date of this report, Douglas J. Firca, MAI has completed the continuing education requirements of the State of Ohio.

Date of the Report: September 5, 2018



Douglas J. Firca, MAI
Buckholz, Caldwell Commercial Appraisals
Certified General Real Estate Appraiser
Ohio License: 2005003714

GENERAL ASSUMPTIONS

This report is subject to the following general assumptions:

- The appraiser assumes no responsibility for the legal description(s) provided or for other matters pertaining to legal and/or title considerations. The legal description used in this report is assumed to be correct, but may not necessarily have been confirmed by survey. Unless otherwise informed, this report assumes the title is clean and marketable as of the effective date of this report.
- Unless informed otherwise, the appraiser assumes the subject is free and clear of any and all liens and/or encumbrances.
- Responsible ownership and competent property management are assumed.
- Information received, identified or provided by others and/or data sources are assumed to be reliable, but the appraiser assumes no responsibility for its accuracy. All information obtained is believed to be accurate. The appraiser cannot warrant and is not responsible for any inaccuracies that may or may not affect the opinion(s) of value.
- All maps, exhibits, surveys and applicable studies are assumed to be accurate, are included to help the reader visualize the property and are intended for reference only.
- It is assumed there are no hidden or unapparent conditions of the subject that may or may not affect value. The appraiser assumes no responsibility for costs associated with the detection and/or remedies of said conditions. Such conditions include, but are not limited to presence of hazardous substances/site contamination, presence of submerged items (whether intact or leaking), presence of wetlands, insufficient soil load bearing capacity, restricted air rights, adverse easements/encroachments, mines, wells, pending eminent domain plans and other miscellaneous conditions that may or may not affect value. This list may be extended at the appraiser's discretion.
- This report assumes the subject conforms to all applicable zoning and use regulations/restrictions and all applicable building codes. Any variance found will be disclosed in the report.
- The appraiser assumes all building improvements are legally located on the subject parcels and do not illegally encroach/trespass on an adjacent lot with different ownership.
- It is assumed all improvements have the necessary licenses, certificates of occupancy, easements and permits as of the effective date of this report.

GENERAL ASSUMPTIONS

- Any applicable forecasts, projections and/or operating estimates are predicated upon current market conditions as of the effective date of this report. They are estimated based on anticipated short-term supply and demand factors and a stable economy that is assumed to continue into the future. All forecasts, projections and/or operating estimates are subject to change along with future conditions.
- Unless otherwise stated, this report and all opinions of values assume there are no hazardous materials or other environmental conditions adversely affecting the property as of the effective date of this report. If hazardous conditions are known, they will be discussed in detail in the report. The appraiser is not skilled at detecting these materials and assumes no responsibility for the presence of potentially hazardous materials including, but not limited to asbestos, lead paint, subsurface hydrocarbons or other hazardous materials that may or may not be present, any test that may be required to detect their presence and/or any remediation costs to properly dispose of such materials. It is assumed that there is full compliance with all applicable federal, state, and local environmental regulations and laws unless otherwise stated in this report. If any of this is a concern to any of the parties involved, a formal inspection conducted by an expert in the appropriate field is recommended.
- Should any hazardous materials, environmental conditions and/or soil conditions exist that may or may not require remediation, the appraiser reserves the right to reconsider all opinions of value.
- Unless otherwise stated in this report, the subject property is appraised without a specific compliance survey having been conducted to determine if the property is or is not in conformance with the requirements of the Americans with Disabilities Act. The presence of architectural and communications barriers that are structural in nature that would restrict access by disabled individuals may adversely affect the property's value, marketability, or utility.
- Any proposed construction and/or renovations are assumed to be completed within a reasonable time period (six months to one year $\pm$) and are assumed to be completed to those specifications, plans and/or cost estimates provided. All plans/cost estimates provided, if applicable, are assumed to be of typical quality deemed to be reasonable. In addition, all new construction or renovations are assumed to conform to all applicable building codes and zoning ordinances.
- In the event of loss and/or damage resulting from any cause this report and all opinions of value assume all government entities will allow the improvements to be reconstructed, renovated and/or repaired.
- Should the appraiser be provided with detailed information regarding the presence of a hidden or unapparent condition that affects value, such information will be disclosed in the report. Regardless of the information provided, the appraiser reserves the right to invoke a hypothetical condition and/or an extraordinary assumption for the purposes of this report. If this is unacceptable by the client, this report may be rendered invalid at the appraiser's discretion.

LIMITING CONDITIONS

This report is subject to the following limiting conditions:

- The distribution, if any, of the total valuation in this report between land and improvements applies only under the stated program of utilization. The separate allocations for land and buildings must not be used in conjunction with any other appraisal and are invalid if so used.
- The liability of Buckholz, Caldwell Commercial Appraisals, its employees and agents are limited only to the client who is paying the fee and to the amount of the fee actually received. The acceptance and use of this report is the acceptance of all terms and conditions. Buckholz, Caldwell Commercial Appraisals has no accountability, obligation and/or liability to any third party. It is the Clients responsibility to sufficiently inform any third party of all limiting conditions and assumptions. The appraiser and the appraisal firm are not responsible for costs to discover and/or correct physical, financial and/or legal deficiencies of the property under appraisal. The Client agrees by acceptance of this report that any lawsuit brought by the lender, partner, tenant or any other party that any settlement or award of any type regardless of the outcome, the Client and all parties completely hold harmless this firm and its employees and agents. Possession of this report, or a copy thereof, does not carry with it the right of publication and anyone who uses this report without the preparer's written consent does so at its/his/her/their own risk.
- The appraiser is not required to provide additional consultation or testimony or appear in court with reference to the subject in question unless arrangements and fees have been agreed upon.
- Neither all nor any part of the contents of this report (especially any conclusions as to value, the identity of the appraiser, or the firm with which the appraiser is connected) shall be disseminated to the public through advertising, public relations, new sales, or other media without prior written consent and approval of the appraiser.
- All opinions of value in this report apply to the subject in its entirety and any proration or division of the opinion of value into fractional interests will render this report invalid unless the proration or division has been indicated in said report.
- The appraiser is not responsible for any unauthorized use of this report. In addition, the report is considered invalid should the Letter of Transmittal not accompany this report. The final opinion of value is based on market conditions and other factors as of the effective date.
- This report has been developed based on information provided as of the effective date of this report. Should additional information be provided that differs from any of the appraiser's assumptions, this report may be rendered invalid at the appraiser's discretion. Should this report/final opinion of value be rendered invalid at the appraiser's discretion, the terms in the engagement letter, including all fees are still valid for the work completed.

LIMITING CONDITIONS

- The client is responsible for providing the appraiser with a title report detailing all easements, restrictions and/or encroachments. Should documentation regarding easements, restriction and/or encroachments not be provided, the appraiser is not responsible for any regulation and/or restriction that may or may not affect market value. Similarly, the appraiser assumes the subject does not have any pending eminent domain plans as of the effective date of this report unless written documentation is provided indicating otherwise.
- The appraiser has not provided a skill that is beyond his qualifications. The reader is advised that the appraiser is not a building inspector, engineer, geologist or skilled in another specific/specialized field. Should any of the parties involved be concerned with potential environmental contamination, submerged tanks (whether intact or leaking), wetlands, adverse easements/encroachments and/or the structural, mechanical or electrical integrity of any building improvement(s) and/or site, a certified professional in the appropriate skill category is recommended. Should written documentation not be provided for conditions that are not readily apparent, the appraiser is not responsible for any positive or negative ramifications that may or may not exist.
- Any mention of the word “inspection” is used in the context of skills within the appraiser’s qualifications. This should not be confused with professional “inspections” provided by certified professionals in their respected fields.
- Any opinions of value provided in the report apply to the entire property, and any proration or division of the total into fractional interests will invalidate the opinion of value, unless such proration or division of interest has been set forth in this report.
- This report and all opinions of value are based on the subject property and all location influences (regardless of the scale of location) solely as of the effective date of this report. Unforeseen circumstances and events can alter the opinions of value, which may be rendered invalid should there be an unforeseen impact to local real estate markets.
- The Americans with Disabilities Act (ADA) became effective January 26, 1992. The appraiser has not made a specific compliance survey or analysis of the property to determine whether or not it is in conformity with the various detailed requirements of ADA. It is possible a compliance survey of the property and a detailed analysis of the requirements of the ADA would reveal the property is not in compliance with one or more of the requirements of the act. If so, this fact could have a negative impact upon the value of the property under appraisal. Since the appraiser has no direct evidence relating to this issue, possible noncompliance with the requirements of ADA was not considered in estimating the value of the subject.

PRIVACY STATEMENT

Information we collect:

We collect and use information we believe is necessary to provide you with our appraisal services. We may collect and maintain several types of personal information needed for this purpose including, but not limited to:

- Information we receive from you on applications, letters of engagement, forms found on our website, correspondence, or conversations, including, but not limited to, your name, address, phone number, social security number, date of birth, bank records, salary information, the income and expenses associated with the subject property, the sale price of the subject property and the details of any financing on the subject property;
- Information about your transactions with us, our affiliates or others, including, but not limited to, payments history, parties to transactions and other financial information;
- Information we receive from a consumer-reporting agency such as a credit history.

Information we disclose:

Except as described below, we do not share nonpublic personal information. We will not rent, sell, trade or otherwise release or disclose any personal information about you. We will not disclose consumer information to any third party for use in telemarketing, direct mail or other marketing purposes.

We limit the sharing of nonpublic personal information about you with financial or non-financial companies, including companies affiliated with us and other third parties to the following:

- We may share information when it is necessary or required to process a loan or other financial transaction;
- We may share information when it is required or permitted by law, such as to protect you against fraud or in response to a subpoena;
- We may disclose some or all of the information described above with:
 - Companies that perform marketing services on our behalf; or
 - Other financial institutions for the limited purpose of jointly offering, endorsing or sponsoring a financial product or service.

SCOPE OF WORK

According to the Uniform Standards of Professional Appraisal Practice, it is the appraiser's responsibility to develop and report a scope of work that results in credible results that are appropriate for the appraisal problem and intended user(s). The following steps were discussed with the client and were deemed acceptable to all parties.

- This is an Appraisal Report as defined by Uniform Standards of Professional Appraisal Practice under Standards Rule 2-2(a). This format provides a summary or description of the appraisal process, subject and market data and valuation analyses.
- The subject has been identified by the legal description and the assessors' parcel number.
- The appraiser will develop an Appraisal Report adhering to USPAP regulations and will include the following: regional and neighborhood analyses, subject photographs, site description, location, flood and plat maps, zoning classifications, tax information, highest and best use analysis and other relevant information. The appraiser is not responsible for delinquent taxes and/or liens that may or may not be reported. This report will also include all applicable approaches or those approaches specifically requested by the client. All relevant information not included in this report is retained in the appraiser's file.
- The subject consists of vacant land and the site was visually observed and photographed. This only applies to the real property and does not include personal property. The appraiser's observation is limited to those things readily observable without the use of special testing equipment. Therefore, the appraiser is not responsible for any and all items, aspects and/or conditions that the appraiser is not skilled to detect.
- Collected information about the subject property (from the subject property owner and/or their representatives) and relevant market data from the surrounding market area.
- A complete as vacant highest and best use analysis for the subject has been made. Physically possible, legally permissible and financially feasible uses were considered and the maximally productive use was concluded.
- Researched applicable comparable data from professional and public data sources deemed reliable including, but not limited to county records, CoStar, LoopNet, Multiple Listing Service (MLS), RealtyRates.com and/or Marshall & Swift. Additional steps were then taken to confirm the data with a knowledgeable source including, but not limited to the buyer(s), seller(s), brokers, realtors, leasing agents, etc.

SCOPE OF WORK

- Reconciled the indication(s) of value into final conclusion(s) as of the effective date of this report.
- The appraiser has not provided a skill that is beyond his qualifications. The reader is advised that the appraiser is not a building inspector, engineer, geologist or skilled in another specific/specialized field. Should any of the parties involved be concerned with potential environmental contamination, submerged tanks (whether intact or leaking), wetlands, adverse easements/encroachments and/or the structural, mechanical or electrical integrity of any building improvement(s) and/or site, a certified professional in the appropriate skill category is recommended. Should written documentation not be provided for conditions that are not readily apparent, the appraiser is not responsible for any positive or negative ramifications that may or may not exist.
- The following approaches to value were considered.
 - **Sales Comparison Approach:** The Sales Comparison Approach was considered and was developed because there is adequate data to develop an opinion of value and this approach reflects market behavior for this property type.
 - **Cost Approach:** The Cost Approach was considered and was not developed because the subject consists of vacant land as of the effective date of this report.
 - **Income Capitalization Approach:** An income approach was considered and was not developed because the subject consists of vacant land as of the effective date of this report.

EXTRAORDINARY ASSUMPTIONS

Extraordinary assumption is defined as “An assumption, directly related to a specific assignment, as of the effective date of the assignment results, which, if found to be false, could alter the appraiser’s opinion or conclusions. Comment: Extraordinary assumptions presume as fact otherwise uncertain information about physical, legal, or economic characteristics of the subject property; or about conditions external to the property, such as market conditions or trends; or about the integrity of data used in an analysis.

- Although the site has some areas of sloping topography, the flood map provided by FEMA indicates the subject is not in an adverse flood plain. Therefore, this report and all opinions of value are based on the extraordinary assumption the subject is not encumbered by wetlands as of the effective date of this report.

HYPOTHETICAL CONDITIONS

Hypothetical condition is defined as “1. A condition that is presumed to be true when it is known to be false. (SVP) 2. A condition, directly related to a specific assignment, which is contrary to what is known by the appraiser to exist on the effective date of the assignment results, but is used for the purpose of analysis. Comment: Hypothetical conditions are contrary to known facts about physical, legal, or economic characteristics of the subject property; or about conditions external to the property, such as market conditions or trends; or about the integrity of data used in an analysis. (USPAP, 2016-2017 ed.)”¹

- There are no hypothetical conditions for this appraisal.

Reliance on General Assumptions, Extraordinary Assumptions and/or Hypothetical Conditions may impact assignment results.

¹ The Dictionary of Real Estate, 6th Edition, Appraisal Institute, Chicago, IL, 2015, p. 113

PROPERTY RIGHTS APPRAISED

The two most common property rights appraised include:

- Fee Simple: *“Absolute ownership unencumbered by any other interest or estate, subject only to the limitations imposed by the governmental powers of taxation, eminent domain, police power, and escheat.”*²
- Leased Fee: *“The ownership interest held by the lessor, which includes the right to receive the contract rent specified in the lease plus the reversionary right when the lease expires.”*³ Short-term leases, typically one-year or less, with similar renewal periods at market rents results in a leased fee interest that is similar to the fee simple interest.

For purposes of this report, the final opinion of value is based on the Fee Simple interest of the subject property as of the effective date of this report.

DEFINITION OF MARKET VALUE

Market Value is defined by the Appraisal Institute as:

“The most probable price that a property should bring in a competitive and open market under all conditions requisite to a fair sale, the buyer and seller each acting prudently and knowledgeably, and assuming the price is not affected by undue stimulus. Implicit in this definition is the consummation of a sale as of a specified date and the passing of title from seller to buyer under conditions whereby:

1. Buyer and seller are typically motivated;
2. Both parties are well informed or well advised, and acting in what they consider their best interests;
3. A reasonable time is allowed for exposure in the open market;
4. Payment is made in terms of cash in U.S. dollars or in terms of financial arrangements comparable thereto; and
5. The price represents the normal consideration for the property sold unaffected by special or creative financing or sales concessions granted by anyone associated with the sale.”⁴

² The Dictionary of Real Estate Appraisal, 6th Edition, Appraisal Institute, Chicago, Illinois, 2015, p. 90.

³ The Dictionary of Real Estate Appraisal, 6th Edition, Appraisal Institute, Chicago, Illinois, 2015, p. 128.

⁴ The Dictionary of Real Estate Appraisal, 6th Edition, Appraisal Institute, Chicago, IL 2015, p. 142.

MARKETING & EXPOSURE TIME

Marketing time is defined by the Appraisal Institute as:

“An opinion of the amount of time it might take to sell a real or personal property interest at the concluded market value level during the period immediately after the effective date of an appraisal. Marketing time differs from exposure time, which is always presumed to precede the effective date of an appraisal.”⁵

Based on the subject’s physical characteristics, current supply and demand for competing properties, current economic trends, etc., a projected marketing time of 6-12± months is considered reasonable.

Exposure time is defined by the Appraisal Institute as:

1. *The time a property remains on the market.*
2. *[The] estimated length of time that the property interest being appraised would have been offered on the market prior to the hypothetical consummation of a sale at market value on the effective date of the appraisal.⁶*

Based on the subject’s physical characteristics, current supply and demand for competing properties, current economic trends, etc., a projected exposure time of 6-12± months is considered reasonable.

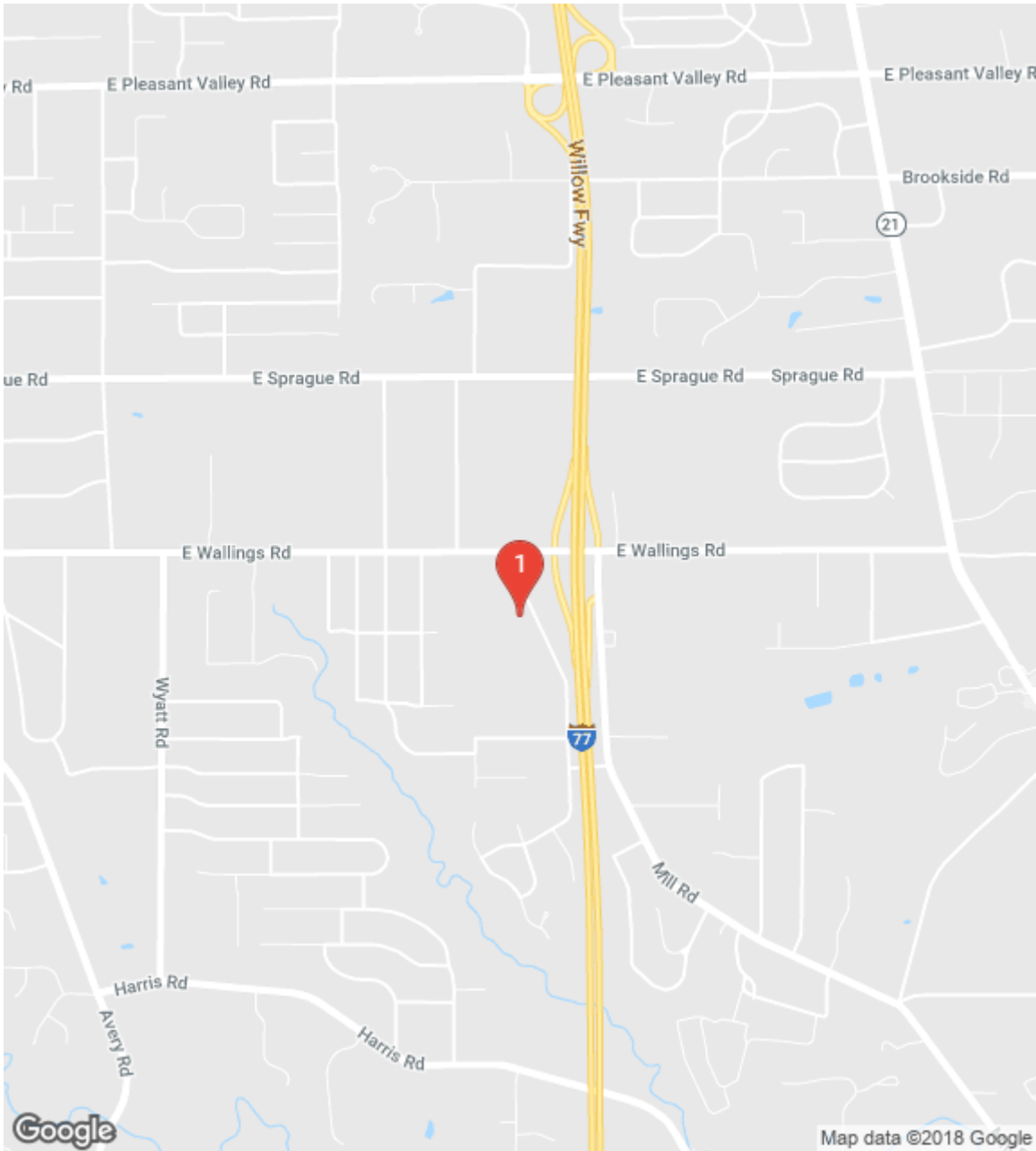
IDENTIFICATION OF THE REAL ESTATE

The subject has frontage along the south side of E. Wallings Road and on the west side of W. Mill Road. As of the effective date of this report the subject is owned by Board of Education Brecksville School District, is located at Mill Road, Broadview Heights, Ohio 44147 and includes parcel number(s) 582-10-001 & 582-11-016. The subject site consists of 26.6240 gross acres or 1,159,742 gross square feet and has a net usable area of 26.2577 acres, or 1,143,786 square feet, net of existing right-of-way and any additional deductions when applicable.

⁵ The Dictionary of Real Estate Appraisal, 6th Edition, Appraisal Institute, Chicago, IL 2015, p. 140.

⁶ The Dictionary of Real Estate Appraisal, 6th Edition, Appraisal Institute, Chicago, IL 2015, p. 83.

LOCATION MAP



HISTORY OF OWNERSHIP

	Previous sale	Current listing
Sale date	1/1/1975	n/a
Sale price	\$0	n/a
Buyer	Bd of Ed Brecksville School District	n/a
Seller	N/A	n/a
Conditions of sale	N/A	n/a

There have been no relevant transfers of the subject within the past five years and the subject is not currently listed for sale as of the effective date of this report.

ASSESSED VALUE & TAXES

The following tables summarize the subject's assessed and market values and taxes and special assessments as reported by the Cuyahoga County Auditor's Office.

Auditors Assessed & Market Values			
Tax ID	Land (Market)	Improvements (Market)	Total Market Value
582-10-001	\$337,000	\$0	\$337,000
582-11-016	\$794,900	\$0	\$794,900
Totals	\$1,131,900	\$0	\$1,131,900

Notes:

Taxes & Special Assessments			
Tax ID	Taxes	Special Assessments	Delinquent Taxes
582-10-001	\$0.00	\$0.00	\$0.00
582-11-016	\$0.00	\$0.00	\$0.00
Totals	\$0.00	\$0.00	\$0.00

Notes:

The subject is exempt from real estate taxes as of the effective date of this report. The auditor's opinion of market value does not reflect current market value, which is further discussed in the Sales Comparison Approach to value.

MARKET & NEIGHBORHOOD ANALYSIS

Based on CoStar Market Reports, the subject is located in the South Market within the overall Cleveland Region. Because the region consists of multiple counties and Cuyahoga County consists of multiple cities, all with varying economic conditions, the following discussion delineates the market for purposes of analyzing the subject's immediate neighborhood. The data in the following tables throughout this section have been provided by the Multiple Listing Service (MLS), CoStar Property Analytics and the U.S. Census Bureau.

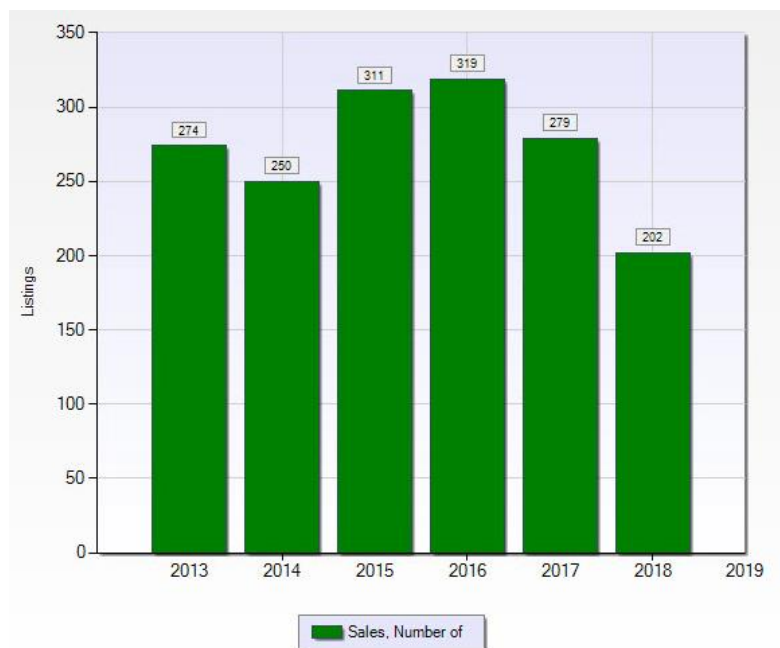
Population

While there have been notable declines in Cuyahoga County over the past few decades, most of the declines have occurred in the City of Cleveland, which experienced a decline of 30.9% between 1980 and 2010. Over the same time period, the population has increased within the City of Broadview Heights and has been stable since the 2010 Census. The following population trends have been provided by the U.S. Census Bureau.

U.S. Census Bureau Population & Projections				
	Cuyahoga County	% Change	Broadview Heights	% Change
1980 Census	1,498,400	n/a	10,909	n/a
1990 Census	1,412,140	-5.8%	12,219	12.0%
2000 Census	1,393,987	-1.3%	15,967	30.7%
2010 Census	1,280,122	-8.2%	19,400	21.5%
2017 Projections	1,248,514	-2.5%	19,227	-0.9%

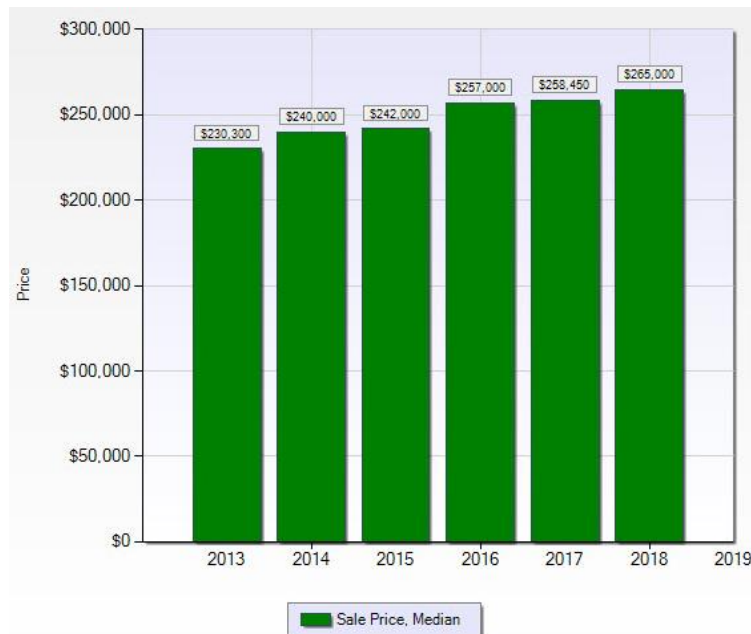
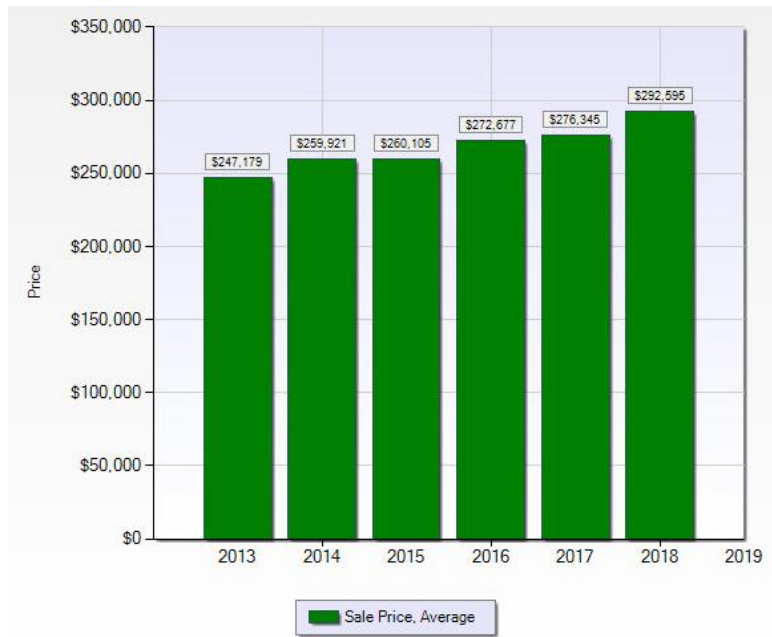
*Source: U.S. Census Bureau

As a result of the population growth, the number of sales of single-family houses has been stable and has increased since 2013. The following graph summarizes annual home sales in Broadview Heights over the past five years and has been provided by the Multiple Listing Service (MLS).



MARKET & NEIGHBORHOOD ANALYSIS

As indicated in the graph above, year-to-date sales have been reported at 202, which when annualized, indicates an increase from 2017. As demand increases for single-family houses and interest rates remain near record lows, values have been increasing. The following graph summarizes average and median house values in Broadview Heights over the same time period summarizing annual sales.

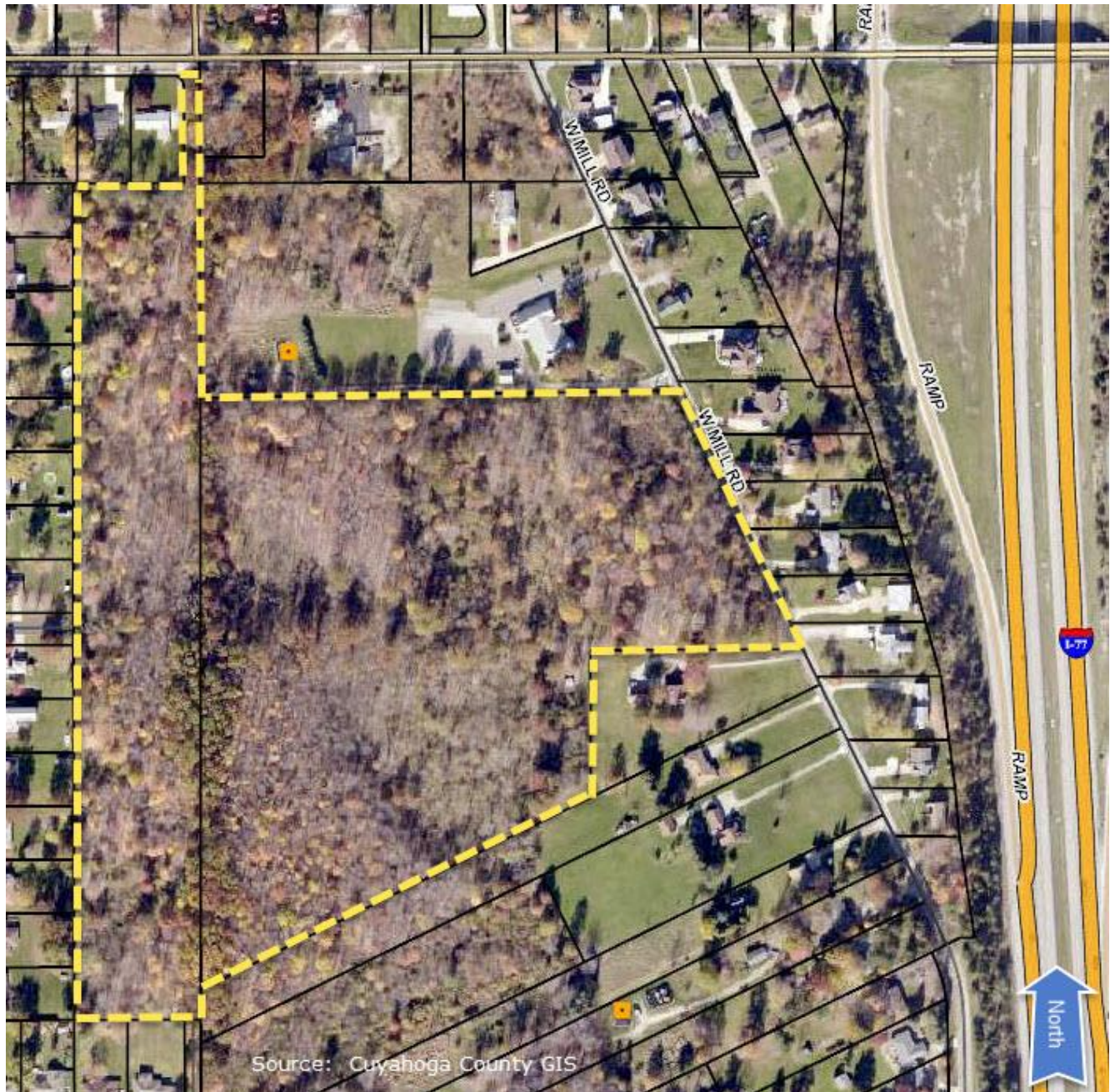


Median values have also been included to eliminate the impact of statistical outliers. As a result, both the average and median sale prices have been consistently increasing over the past five years, which is expected to continue into the foreseeable future.

MARKET & NEIGHBORHOOD ANALYSIS

Residential growth typically occurs in areas with strong school systems. Based on data provided by the State of Ohio, the Brecksville-Broadview Heights City School District has been given “A” ratings in both the Achievement & Graduation Rate categories. In addition, U.S. News ranked the Brecksville-Broadview Heights City School District #26 in the State of Ohio.

AERIAL/PLAT MAP



SITE DESCRIPTION

The subject has frontage along the south side of E. Wallings Road and on the west side of W. Mill Road. The physical characteristics of the subject site are summarized below.

Parcel Number(s): 582-10-001 582-11-016

Lot size:

Gross lot size: 26.6240 acres 1,159,742 square feet

P.R.O. (right-of-way): 0.3663 acres 15,956 square feet

Other deduction(s): 0.0000 acres 0 square feet

Net lot size: 26.2577 acres 1,143,786 square feet

Site Configuration: Interior

Zoning: A-1, Single-Family Dwelling & D-1, Community

School District: Brecksville-Broadview Heights

Utilities: Public water Electricity
Public sewers Natural gas

Site Improvements: Site improvements include densely wooded natural growth.

Shape: The site is mostly rectangular in shape

Road Frontage: W. Mill Road: 531 feet
E. Wallings Road: 44 feet

Depth: 1,134 feet

Topography: The subject is moderately sloping south from Wallings Road and has predominantly level topography at grade along Mill Road.

Flood Zone: The subject is located in an area mapped by the Federal Emergency Management Agency (FEMA). The subject is located in flood zone X, which is not classified as an adverse flood hazard area.

FEMA panel number & date: 39035C0309E December 3, 2010

Environmental Issues: As of the effective date of this report there are no known adverse environmental conditions on the subject site.

Easements/Encumbrances: There are no known encumbrances and the subject has typical utility easements similar to other properties in the subject's immediate neighborhood.

ZONING

The following information has been confirmed with the city ordinance.

Property type: Land
Zoning: A-1, Single-Family Dwelling & D-1, Community

Category	A-1, Single-Family Dwelling
Minimum lot size:	30,000 square feet
Minimum gross floor area:	1,500 square feet for a house with a basement 1,600 square feet for a house without a basement
Minimum frontage:	125 feet
Front setback:	50 feet
Max. building height:	35 feet

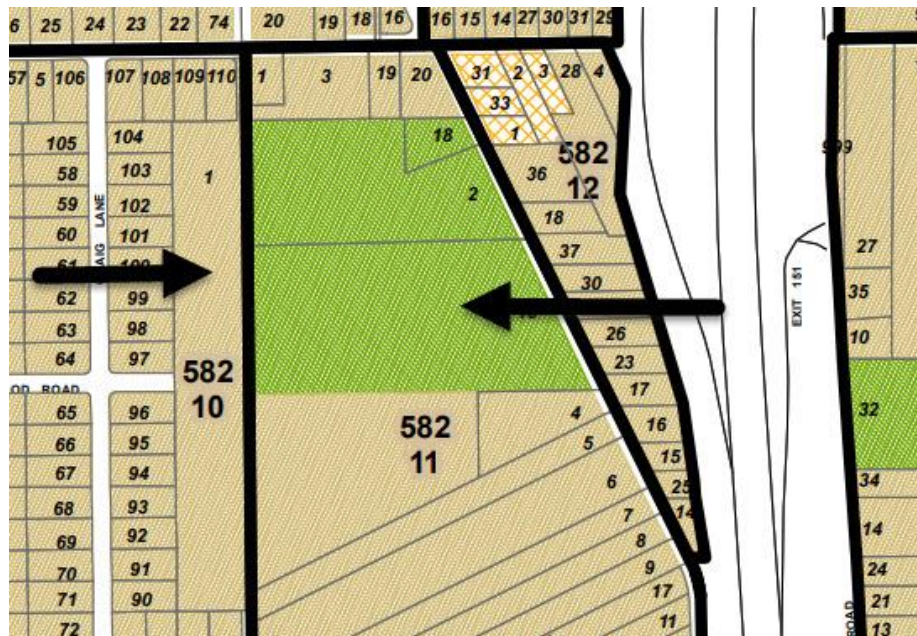
Category	D-1, Community
Minimum lot size:	Varies by use
Front setback:	75 feet when adjacent to any residential district
Side setback:	100 feet or two times the building height, whichever is greater.
Rear setback:	100 feet or two times the building height, whichever is greater.
Max. building height:	40 feet, or 3 floors

The table above provides a brief summary of the zoning criteria and is not a complete list as some criteria may be contingent on property use. The appraiser's interpretation of the subject's zoning is not to be considered an exact compliance study, but rather is considered reasonable for the scope of this assignment.

Non-conforming uses

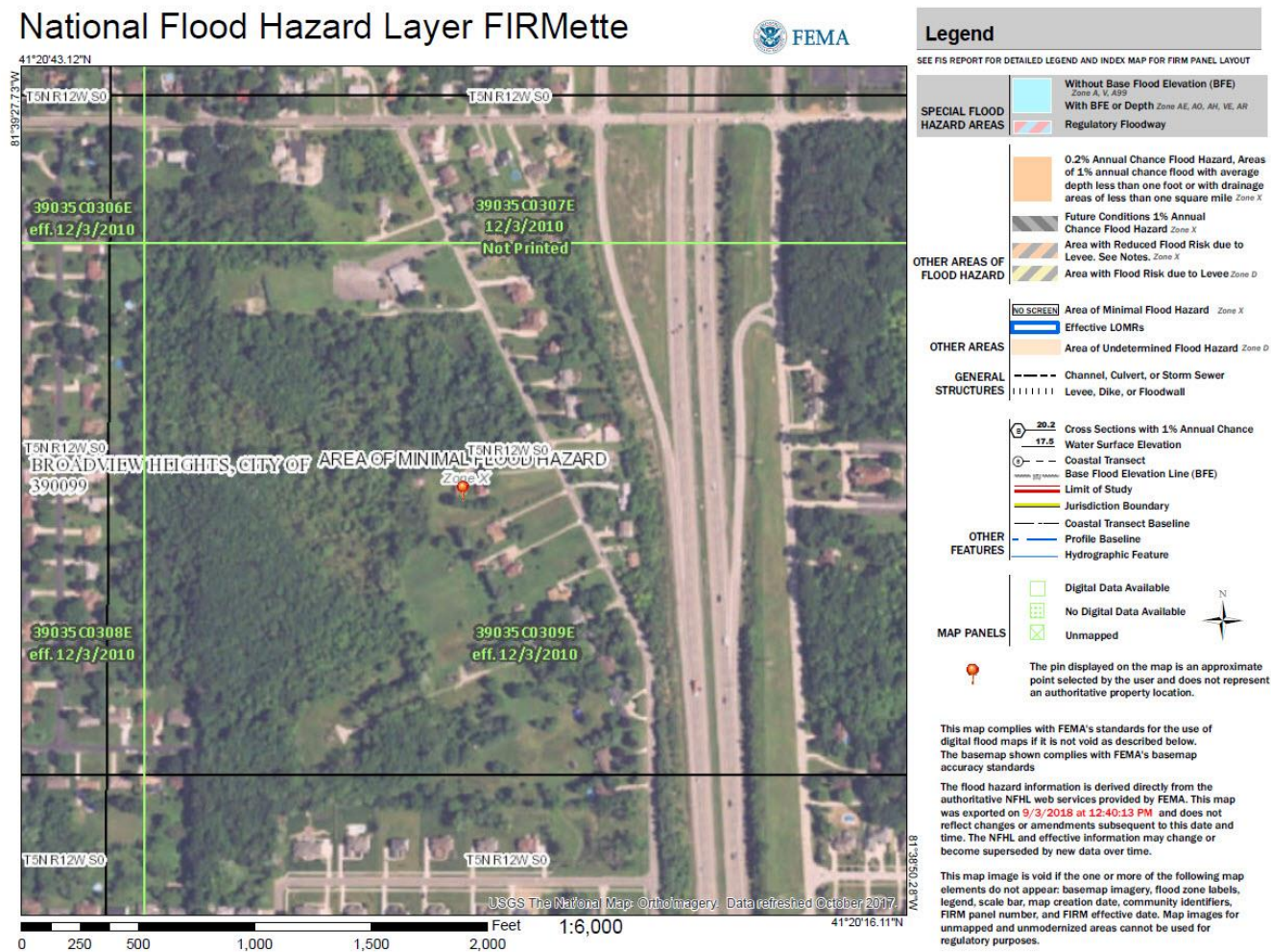
It is not uncommon for building improvements to predate current zoning ordinances. While this classification results in a legal non-conforming use status, there may be limitations should the building improvements become damaged or should ownership want to expand/alter the building. This is contingent on local laws, which often differ from city to city. Extended periods of vacancy, damage to the building above a predetermined percentage of market value and/or improvements that extend the economic life of a non-conforming use are just a few examples of circumstances considered by each city and only consists of a partial list. Because non-conforming properties routinely transfer, legal non-conformities typically have little impact on value. Since zoning is a legal consideration, should this be a concern for any of the parties involved a formal study provided by the building department and legal representation is recommended.

ZONING MAP



- A-1 Single Family Dwelling
- A-2 Two Family Dwelling
- B-1 Cluster Housing
- B-2 Multi Family Housing
- B-3 Rural Residential
- B-5 Senior Citizen
- C-1 Commercial - Local Retail
- C-2 Commercial - General
- C-3 Office Space
- C-4 Shopping Center
- C-5 Interstate Highway Shopping Ctr District
- C-6 Corridor Conversion District
- D-1 Community
- E-1 Office - Laboratory
- E-2 Light Industrial
- Special Planning District - Zone A
- Special Planning District - Zone B

FLOOD MAP



HIGHEST & BEST USE

Highest and best use is defined by the Appraisal Institute as:

“The reasonably probable use of property that results in the highest value. The four criteria that the highest and best use must meet are legal permissibility, physical possibility, financial feasibility, and maximum productivity.”⁷

Highest & Best Use Analysis – As Vacant

Legally Permissible:

The subject has frontage along the south side of E. Wallings Road and on the west side of W. Mill Road. The subject is located in the A-1, Single-Family Dwelling & D-1, Community Districts in which a few legally permissible uses include, but are not limited to, single-family dwellings, government buildings for administrative purposes, educational facilities, hospitals and places of worship. The D-1, Community District is located on the parcel with frontage along W. Mill Road. All other uses including conditional uses must first be approved by the Planning Commission and/or the Zoning Board of Appeals. Based on the earlier discussion of zoning requirements, it appears the subject is legally conforming as of the effective date of this report.

Considering the subject is currently owned by the Board of Education and current residential property values, there appears to be an above average probability of a zoning change for the area in the D-1, Community District allowing for residential development.

Physically Possible:

Physical possibility considers multiple factors including size, shape, topography, frontage, depth, access and availability of utilities and is based on all general assumptions and limiting conditions specified earlier in this report.

The subject consists of 26.6240 gross acres or 1,159,742 gross square feet and has about 531 feet of frontage along W. Mill Road, 44 feet of frontage along E. Wallings Road and a depth of 1,134 feet. The subject has a net usable size of 26.2577 acres, or 1,143,786 square feet, net of existing right-of-way and any additional deductions when applicable. All sizes and dimensions have been confirmed with public records, legal descriptions and/or plat maps and are assumed to be accurate. The site is mostly rectangular in shape and has access to the following utilities:

- Public water
- Public sewers
- Electricity
- Natural gas

⁷ The Dictionary of Real Estate Appraisal, 6th Edition, Appraisal Institute, Chicago, IL 2015, p. 109.

HIGHEST & BEST USE ANALYSIS – AS VACANT

All of the available utilities are assumed to have sufficient capacity to support the subject's highest and best use. There are no known encumbrances and the subject has typical utility easements similar to other properties in the subject's immediate neighborhood. As of the effective date of this report there are no known adverse environmental conditions on the subject site. The subject is moderately sloping south from Wallings Road and has predominantly level topography at grade along Mill Road. It appears the subject has adequate physical and legal access and has few physical limitations restricting development of a legally permissible use.

Financial Feasibility:

This step of highest and best use analysis identifies whether there is sufficient entrepreneurial incentive for new construction of a legally permissible use. The use must provide a profit above the cost of purchasing the land and construction of the building and site improvements and should be commensurate with the risk involved.

The subject has frontage along both W. Mill and E. Wallings Roads. The frontage on E. Wallings Road, however, is limited and can mainly support an access drive. The vast majority of frontage is along the west side of W. Mill Road. Both streets are predominantly improved with single-family residential uses and the subject is adjacent to a place of worship to the north.

Although the subject is located in close proximity to Interstate 77, commercial development does not conform to the immediate neighborhood, which predominantly consists of single-family uses. In addition, the subject's zoning allows for single-family houses and public use buildings, which typically serve the immediate area. Given the increasing property values, stable population and its location in a residential neighborhood, single-family development appears to be financially feasible.

Maximally Productive:

The maximally productive use of the subject, as vacant, as of the effective date of this report is to development of a legally permissible use. This is supported by stable rents and vacancies in the subject's immediate area, newer construction and proximity to major highways.

Highest & Best Use Conclusion

Based on the above analysis, the highest and best use of the subject, as vacant, as of the effective date of this report is to development of a legally permissible use.

APPROACHES TO VALUE

All opinions of value are derived through the development of three approaches to value when applicable. These methods are referred to as the Cost Approach, the Sales Comparison Approach, and the Income Capitalization Approach. The concept of each of these approaches is outlined as follows.

- Sales Comparison Approach: The opinion of value developed in this approach by analyzing properties, which have sold and are similar to the subject of this report. Adjustments made to the sale's price to account for differences in location, physical features and other factors will result in an indicated value from each sale. These indications of value are the basis of this approach.

The Sales Comparison Approach was considered and was developed because there is adequate data to develop an opinion of value and this approach reflects market behavior for this property type.

- Cost Approach: The opinion of value developed in this approach is formulated by estimating the cost-new of all improvements, as of the effective date of the appraisal, and by subtracting from that amount, accrued depreciation for all causes. The difference is the depreciated value of the improvements which when added to the land value, yields an opinion of fee simple value of the subject in its entirety. Adjustments are then made to reflect leased fee or leasehold value when applicable.

The Cost Approach was considered and was not developed because the subject consists of vacant land as of the effective date of this report.

- Income Approach: This technique is based upon the estimation of net income that the subject can generate after having satisfied the expenses typical for this type of property. The amount of net income is converted to an opinion of value when it is divided by an interest rate, which represents the rate of return that investors expect from properties with the subject's investment characteristics. The means of converting income to value is the capitalization process, which is the basis of this approach.

The Income Capitalization Approach was considered and was not developed because the subject consists of vacant land as of the effective date of this report.

TYPES OF ADJUSTMENTS

There are multiple types of adjustments when comparing comparable sales, rents and capitalization rates. Matched pair analysis is a premise that two properties are similar with few exceptions, which can then be quantified. This theory lacks practicality in markets with a limited number of sales, unique properties or when data is considered confidential, is not made public or cannot be confirmed. Real estate investments have a significant number of factors that go well beyond physical differences of the properties themselves and include, but are not limited to motivation of purchase, financing, return on investment and equity requirements, tax implications, lease structures, non-realty components, etc.; most of which are not considered public information and vary among investors. Recognizing this, the Appraisal Institute identifies different types of adjustments.

Quantitative adjustments

Quantitative adjustments are derived using mathematical and statistical modeling based on market data. A few techniques include:

- Data analysis
- Statistical analysis
- Cost-related adjustments

Qualitative adjustments

Qualitative adjustments are made after quantitative adjustments and are applied to those factors that cannot be statistically measured. Sufficient market data is not often available to statistically support a mathematically derived adjustment. Therefore, appraisers apply reasonable and logical analysis to those elements of comparison in which there is imperfect or inconsistent information.

“Qualitative analysis recognizes the inefficiencies of real estate markets and the difficulty in expressing adjustments with mathematical precision. It is essential, therefore, that the appraiser explain the analytical process and logic applied in reconciling the value indications using qualitative analysis techniques such as:”⁸

- Trend analysis
- Relative comparison analysis
- Ranking analysis

Both types of adjustments reflect the actions of local market participants and are necessary due to the inefficiencies of real estate markets.

⁸ The Appraisal of Real Estate, 14th Edition, 2010, Appraisal Institute, Chicago, IL, p. 403

SALES COMPARISON APPROACH

“In the sales comparison approach, the appraiser develops an opinion of value by analyzing closed sales, listings, or pending sales of properties that are similar to the subject property. The comparative techniques of analysis applied in the sales comparison approach are fundamental to the valuation process. Market rent, expenses, land value, cost, depreciation, and other value parameters may be derived in the other approaches to value using comparative techniques. Similarly, in applying the sales comparison approach appraisers often analyze conclusions derived in the other approaches to determine the adjustments to be made to the sale prices of comparable properties.

In the sales comparison approach, an opinion of market value is developed by comparing properties similar to the subject property that have recently sold, are listed for sale, or are under contract (i.e., for which purchase offers and a deposit have been recently submitted). A major premise of the sales comparison approach is that an opinion of the market value of a property can be supported by studying the market’s reaction to comparable and competitive properties.

Comparative analysis of properties and transactions focuses on similarities and differences that affect value, called *elements of comparison*, which may include variations in property rights, financing terms, market conditions, and physical characteristics, among others. Appraisers examine market evidence using paired data analysis, trend analysis, statistics, and other techniques to identify which elements of comparison within the data set of comparable sales are responsible for value differences.”⁹

The Sales Comparison Approach was considered and was developed because there is adequate data to develop an opinion of value and this approach reflects market behavior for this property type.

⁹ The Appraisal of Real Estate, 14th Edition, Appraisal Institute, Chicago, IL 2010, p. 377-378.

SALES COMPARISON APPROACH – AS VACANT

Comparable Sales Map & Sales Sheets

The comparable sales on the following pages have been researched and confirmed with data sources deemed reliable, and when possible, confirmed with a knowledgeable party to the transaction including buyers, sellers or brokers. The following map shows the location of the comparable sales in relation to the subject with the detailed sales sheets to follow.



Land Comparable 1



Transaction

ID	254	Date	8/1/2016
Address	Jaycox Rd.	Price	\$950,000
City	Avon	Price Per Net SF	\$0.75
County	Lorain	Price Per Net Acre	\$32,507
State	Ohio	Property Rights	Fee simple
Tax ID	04-00-022-102-086 & -049	Financing	Private
Grantee	Avon Norton Place, LLC	Conditions Of Sale	Arm's length
Grantor	Gregg M. & Mark T. Wasilko, Trs. & Richard E. & Kathleen J. Herbst, Trs.	Verification Source	Gregg Wasilko/Seller
Market	Lorain County	Sale:List Price	--
Days on Market	--		

Site

Gross Acres	62.1684	Gross SF	2,708,056
Net Acres	29.2245	Net SF	1,273,020
Shape	Rectangular	Topography	Level
Utilities	All public	Zoning	R-1, Single-Family
Current Use	Vacant land	Interior or Corner	Interior
Highest & Best Use	Subdivision development	Flood Zone	Zone X, 39093C0153D, 8/19/08
Road Frontage	3,300	Environmental Issues	Wetlands
Depth	860	Encumbrance or Easement	Typical easements

Comments

Located on the east side of Jaycox Road two parcels north of Detroit Road, the site consisted of vacant residential land at time of sale. The buyer purchased two sites with different ownership on the same day for purposes of residential subdivision development. The parcels were purchased for \$880,000 and \$70,000 respectively for a total purchase price of \$950,000. The seller confirmed about 50% of the area outside of the right-of-way consisted of wetlands and were not usable. While the buyer only wanted to purchase the non-wetland area, the sale was contingent on the buyer purchasing the entire area. Because the wetlands are considered to be a detriment to residential development, the wetlands have been deducted from the gross acreage along with the right-of-way. All information has been confirmed with the seller.

Land Comparable 2



Transaction

ID	399	Date	10/6/2016
Address	1345 Royalton Rd.	Price	\$355,000
City	Broadview Hts.	Price Per Net SF	\$0.82
County	Cuyahoga	Price Per Net Acre	\$35,545
State	Ohio	Property Rights	Fee simple
Tax ID	583-13-011, -016 & -017	Financing	Cash
Grantee	82A, LLC	Conditions Of Sale	Arm's length
Grantor	Ida Handy	Verification Source	RE/MAX Brokerage data
Market	South	Sale:List Price	88.8%
Days on Market	89		

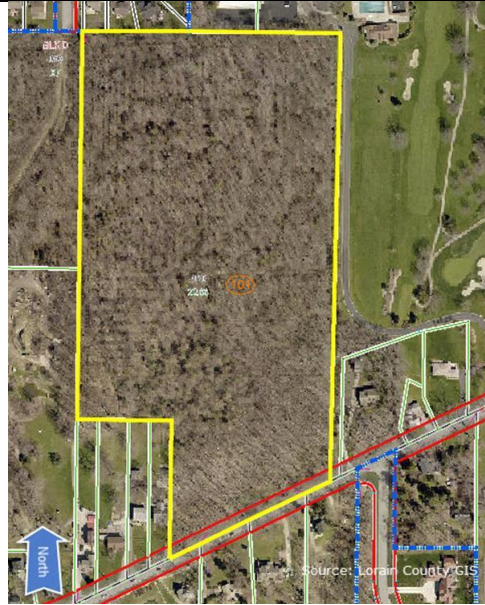
Site

Gross Acres	10.1135	Gross SF	440,543
Net Acres	9.9873	Net SF	435,047
Shape	Rectangular	Topography	Predominantly level
Utilities	All public	Zoning	C-6, Corridor Conversion
Current Use	Vacant land	Interior or Corner	Corner
Highest & Best Use	Commercial development	Flood Zone	Zone X & A, 39035C0308E, 12/3/10
Road Frontage	1,261	Environmental Issues	None noted
Depth	545	Encumbrance or Easement	Typical easements

Comments

Located on the northwest corner of E. Royalton & Avery Roads, the site consisted of vacant commercial land at time of sale. The site is in close proximity to new development including University Hospital, Metro Hospital, numerous restaurants and major highways including Interstate 77 and 271 and the Ohio Turnpike. Prior to the sale, the City of Broadview Heights passed the Town Center Special District plan that includes 100 acres about 500 feet from the site.

Land Comparable 3



Transaction

ID	252	Date	3/21/2016
Address	Detroit Rd.	Price	\$700,000
City	Avon	Price Per Net SF	\$0.72
County	Lorain	Price Per Net Acre	\$31,481
State	Ohio	Property Rights	Fee simple
Tax ID	04-00-027-101-020	Financing	Cash
Grantee	Saeed Talal	Conditions Of Sale	Arm's length
Grantor	Jack Webker	Verification Source	Goodman Real Estate
Market	Lorain County	Sale:List Price	100.0%
Days on Market	180		

Site

Gross Acres	22.6600	Gross SF	987,070
Net Acres	22.2353	Net SF	968,572
Shape	Mostly rectangular	Topography	Moderate slopes
Utilities	Public water	Zoning	R-1, Single-Family
Current Use	Vacant land	Interior or Corner	Interior
Highest & Best Use	Residential development	Flood Zone	Zone X, 39093C0153D, 8/19/08
Road Frontage	528	Environmental Issues	None noted
Depth	1,425	Encumbrance or Easement	Typical easements

Comments

Located on the north side of Detroit Road east of Nagel Road, the site consisted of vacant land at time of sale. Located in one of the fastest growing and most stable communities in northeast Ohio, the buyer purchased the land for subdivision development. The site is adjacent to Avon Oaks Country Club to the west and is adjacent to another subdivision to the south. At time of sale the site did not have immediate access to public sewers. Higher offers were received but required the seller to complete due diligence including wetlands surveys and other studies at the sellers expense. The seller accepted the offer in which the buyer would incur the additional costs. While the sale was purchased out of probate, the broker confirmed the estate sale had no impact on price.

Land Comparable 4



Transaction			
ID	253	Date	4/12/2016
Address	31660 Hilliard Rd.	Price	\$840,000
City	Avon	Price Per Net SF	\$0.64
County	Lorain	Price Per Net Acre	\$27,694
State	Ohio	Property Rights	Fee simple
Tax ID	04-00-025-000-034	Financing	Cash
Grantee	Cupco, LLC	Conditions Of Sale	Arm's length
Grantor	Nils Eric Johnson & Justin James	Verification Source	William Landers/Realtor
Market	Lorain County	Sale:List Price	--
Days on Market	114		
Site			
Gross Acres	30.3319	Gross SF	1,321,259
Net Acres	30.3319	Net SF	1,321,259
Shape	Rectangular	Topography	Level
Utilities	Public water	Zoning	R-1, Single-Family
Current Use	Residential	Interior or Corner	Interior
Highest & Best Use	Residential	Flood Zone	Zone X, 39093C0161D, 8/19/08
Road Frontage	553	Environmental Issues	None noted
Depth	2,378	Encumbrance or Easement	Typical easements
Comments			

Located on the west side of Hilliard Road the site is improved with a tenant-occupied single-family house that is considered to be an interim use. While the majority of the land is located in the City of Avon, the single-family house is located in the City of Westlake. The site is adjacent to Hilliard Lakes Golf Course. All information has been confirmed with the realtor.

Land Comparable 5



Transaction			
ID	255	Date	10/4/2013
Address	Schady Road	Price	\$1,044,000
City	Olmsted Twp.	Price Per Net SF	\$0.59
County	Cuyahoga	Price Per Net Acre	\$25,861
State	Ohio	Property Rights	Fee simple
Tax ID	265-16-003	Financing	Conv.
Grantee	K. Hovnanian Schady Reserve, LLC	Conditions Of Sale	Arm's length
Grantor	DiSanto Enterprises, Inc.	Verification Source	Multiple sources/legal description
Market	Southwest	Sale:List Price	--
Days on Market	--		
Site			
Gross Acres	40.3700	Gross SF	1,758,517
Net Acres	40.3700	Net SF	1,758,517
Shape	Mostly rectangular	Topography	Level
Utilities	All public	Zoning	R40/PRD, Planned Residential
Current Use	Vacant land	Interior or Corner	Interior
Highest & Best Use	Residential subdivision	Flood Zone	Zone X, 39035C0252E, 12/3/10
Road Frontage	625	Environmental Issues	None noted
Depth	2,100	Encumbrance or Easement	Typical easements
Comments			

Located on the south side of Schady Road three parcels east of Aaron Lane, the site was purchased for residential subdivision development. The site is just south of the Ohio Turnpike and is in an area with significant residential development. The buyer is a prominent national developer and has other subdivisions in the immediate neighborhood.

ADJUSTMENT GRID – AS VACANT

Land Analysis Grid		Comp 1		Comp 2		Comp 3		Comp 4		Comp 5	
Address	Mill Road	Jaycox Rd.		1345 Royalton Rd.		Detroit Rd.		31660 Hilliard		Schady Road	
City	Broadview Heights	Avon		Broadview Hts.		Avon		Avon		Olmsted Twp.	
State	Ohio	Ohio		Ohio		Ohio		Ohio		Ohio	
Zip	44147	44011		44147		44011		44011		44138	
Date	8/30/2018	8/1/2016		10/6/2016		3/21/2016		4/12/2016		10/4/2013	
Price		\$950,000		\$355,000		\$700,000		\$840,000		\$1,044,000	
Net Acres	26.2577	29.2245		9.9873		22.2353		30.3319		40.3700	
Net Acre Unit Price		\$32,507		\$35,545		\$31,481		\$27,694		\$25,861	
Transaction Adjustments											
Property Rights	Fee Simple	Fee simple	0.0%	Fee simple	0.0%	Fee simple	0.0%	Fee simple	0.0%	Fee simple	0.0%
Financing		Private	0.0%	Cash	0.0%	Cash	0.0%	Cash	0.0%	Conv.	0.0%
Conditions of Sale		Arm's length	0.0%	Arm's length	0.0%	Arm's length	0.0%	Arm's length	0.0%	Arm's length	0.0%
Expend. After Sale		\$0		\$0		\$0		\$0		\$0	
Adjusted Net Acre Unit Price		\$32,507		\$35,545		\$31,481		\$27,694		\$25,861	
Market Trends Through	8/30/2018	2.0%	4.2%	3.8%		5.0%		4.8%		10.2%	
Adjusted Net Acre Unit Price		\$33,874		\$36,907		\$33,042		\$29,032		\$28,500	
Location	Average	Superior		Similar		Superior		Superior		Inferior	
% Adjustment		-10%		0%		-10%		-5%		10%	
Net Acres	26.2577	29.2245		9.9873		22.2353		30.3319		40.3700	
% Adjustment		0%		-10%		0%		0%		0%	
Utilities	Public water, Public sewers	All public		All public		Public water		Public water		All public	
% Adjustment		0%		0%		0%		0%		0%	
Shape	Mostly rectangular	Rectangular		Rectangular		Mostly rectangular		Rectangular		Mostly rectangular	
% Adjustment		0%		0%		0%		0%		0%	
Topography	Slightly sloping	Level		Predominantly		Moderate slopes		Level		Level	
% Adjustment		0%		0%		0%		0%		0%	
Zoning	A-1, Single-Family Dwelling & D-1, Community	R-1, Single-Family		C-6, Corridor Conversion		R-1, Single-Family		R-1, Single-Family		R40/PRD, Planned Residential	
% Adjustment		-10%		-15%		-10%		-10%		-10%	
Road Frontage	531	3,300		1,261		528		553		625	
% Adjustment		0%		0%		0%		0%		0%	
Interior or Corner	Interior	Interior		Corner		Interior		Interior		Interior	
% Adjustment		0%		0%		0%		0%		0%	
Adjusted Net Acre Unit Price		\$27,099		\$27,680		\$26,434		\$24,677		\$28,500	
Net Adjustments		-20.0%		-25.0%		-20.0%		-15.0%		0.0%	

SALES COMPARISON APPROACH – AS VACANT

Adjustment Analysis

Several sales have been researched and analyzed to determine an opinion of value for the subject property as of the effective date of this report. Market and statistically derived adjustments are applied when applicable and further refinement is handled in the reconciliation process when market support is unavailable due to the inefficiencies in the real estate markets.

Transaction Adjustments:

Property Rights: All sales included the transfer of the fee simple interest, requiring no adjustment.

Financing: All sales consisted of either cash or conventional financing, requiring no adjustment.

Conditions of Sale: All sales were arm's length transfers, requiring no adjustment.

Market Conditions: As discussed in the Market & Neighborhood Analysis section of this report, residential values have been increasing over the past few years. The average sale price in Broadview Heights increased from \$259,921 in 2014 to \$292,595 in 2018, indicating an annual increase of about 3.2% per year on a compound basis. Increasing prices are affected by multiple factors including interest rates, supply and demand and inflation and increasing land values, all of which are considered individually.

- Interest rates:

The following table summarizes current and historical 30-year fixed mortgage rates, which have been provided by Freddie Mac.

Year	Mortgage Rate (annual average)
2018	4.42% (average YTD)
2017	3.99%
2016	3.65%
2015	3.85%

Values and interest rates are inversely related as prices increase as a result of lower interest rates and decrease during periods of increasing interest rates. Interest rates remained consistent between 2015 and 2017 indicating little impact on appreciation.

- Demand:

As discussed in the Market & Neighborhood Analysis section of this report, the number of residential sales has increased between 2013 and 2016, and has since stabilized. The number of sales declined from 2016 to 2017 and annualized year-to-date sales are forecasted to be consistent with 2017. In addition, the population has declined by -0.9% between the 2010 Census and 2017 estimates. Therefore, demand also stabilized and is not considered to be the leading cause of the increasing residential prices.

SALES COMPARISON APPROACH – AS VACANT

- Inflation:

Residential prices are also impacted by increasing construction and labor costs and land acquisition. Since land is finite, demand for acreage increases as supply decreases. In addition construction costs have been increasing for both materials and labor. The following table summarizes cost multipliers for residential construction, which have been provided by Marshall & Swift.

Year	Cost Multiplier	% Change
February 2018	1.03	+ 4.04%
June 2016	0.99	n/a

In 1.7 years construction costs have increased by 4.04%, indicating an annual increase of 2.4% per year on a compound basis. Therefore, based on the three primary forces impacting market appreciation, inflation of construction costs is mainly attributed to the increasing prices.

Land Values:

Since inflation appears to be the main contributing factor in the price increases, adjustments for market conditions are also analyzed by matched pair analysis including Sales 1 & 3 and a current listing of comparable size and zoning. The following sales and listing in the tables below are located in the same city.

Location/Sale	Time	Sale/List Price	Adjusted Price*	Size (Ac.)	\$/Acre	% Difference
Detroit Rd., Avon	Listing	\$999,000	\$959,000	28.6900 ac.	\$33,426/ac.	+ 1.3%/yr.
Sale 1	2.1 yrs.	\$950,000	n/a	29.2245 ac.	\$32,507/ac.	n/a

Location/Sale	Time	Sale/List Price	Adjusted Price*	Size (Ac.)	\$/Acre	% Difference
Detroit Rd., Avon	Listing	\$999,000	\$959,000	28.6900 ac.	\$33,426/ac.	+ 2.6%/yr.
Sale 3	2.3 yrs.	\$700,000	n/a	22.2353 ac.	\$31,481/ac.	n/a

*The adjusted price accounts for the sale-to-list price ratio of the current listing. Sales 2 and 3 have sale-to-list price ratios of 88.8% and 100% respectively with an average ratio of 94.4%. Considering Sale 3 is located in Avon, similar to the listing, and sold at 100% of its list price, a sale-to-list price ratio of 96% is considered reasonable.

Based on the matched pair analysis including a current listing and two of the comparable sales, all located in the same city with comparable sizes, a reconciled adjustment of 2.0% per year is considered reasonably supported and is the basis for adjustment. Since land does not have increasing material and labor costs, the matched pair analysis is considered to be the more reliable indicator of market conditions.

SALES COMPARISON APPROACH – AS VACANT

Physical Adjustments:

Location: The City of Avon is one of the fastest growing communities in northeast Ohio. The following table summarizes average house values in 2018 in Avon and Broadview Heights.

City	Average Price (2018)	% Difference
Avon	\$327,338	n/a
Broadview Heights	\$292,595	-10.6%

As indicated by market reports provided by the Multiple Listing Service (MLS), the average house value in Broadview Heights is about 10.6% lower relative to Avon and is the basis for adjustment. A slightly lower adjustment is applied to Sale 4 due to its location in a secondary area in Avon. Sale 5 is located in an area of lower housing values and has a transaction adjusted unit value about 10% lower than the average of the residential land sales in Avon.

Size: Size and unit value are typically inversely related. Larger sites tend to sell for lower unit values while smaller sites often sell for higher unit values. Based on a broad search in terms of size and location, a regression analysis was developed to determine a reasonably supported adjustment for size. Based on the results of the regression analysis, an upward adjustment is applied to Sale 2 for size. The remaining sales are within market tolerances of the subject requiring no adjustment.

Utilities: Although Sales 3 and 4 do not have public sewers, both sites are adjacent to developments with all public utilities. Because the distance to extend public sewers is short, adjustments for utilities are not warranted.

Zoning: The main buildable area of the subject is located in the D-1, Community District, which only allows development of public uses including libraries, government administrative offices, schools, etc. The legally permissible uses for this area of the subject are not considered to be investor grade quality and are considered to be a detriment for the subject's potential for development. All of the sales are superior in terms of zoning and investor demand, requiring downward adjustments. While Sale 2 is located in a commercial zoning district, the site is located in the same city as the subject and is considered relevant. The adjustment for zoning is based on matched pair analysis including Sale 2 and the average of the residential sales in Avon; Sales 1, 3 & 4. Since all four of the sales transferred in 2016 and since there are offsetting adjustments for location and size, the matched pair analysis for zoning is based on the differences of the unadjusted unit values.

Sales	Zoning Type	Unadjusted Unit Value	% Difference
Sale 2	Commercial	\$35,545 per ac.	n/a
Avg. of Sales 1, 3 & 4	Residential	\$30,561 per ac.	-14% +/-

Based on the market data in the table above, the average unit value of the residential sites is about 14% lower than the commercial site and is the basis for the adjustment.

SALES COMPARISON APPROACH – AS VACANT

Sale Statistics & Reconciliation

The table below summarizes relevant statistics both before and after adjustment. After all adjustments are applied the range and standard deviation decrease significantly indicating greater reliability. In addition the reconciled unit value is bracketed by both the unadjusted and adjusted unit value range.

All of the comparable sales are located in growing and stable communities with increasing property values. Considering the subject is currently owned by the Board of Education and current residential property values, there appears to be an above average probability of a zoning change for the area in the D-1, Community District allowing for residential development. Based on all of the comparable sales and market supported adjustments, the final opinion of value of the subject property as of the effective date of this report is summarized as follows:

Land Value Ranges & Reconciled Value				
Number of Comparables:	5	Unadjusted	Adjusted	% Δ
Low:		\$25,861	\$24,677	-5%
High:		\$35,545	\$28,500	-20%
Average:		\$30,618	\$26,878	-12%
Median:		\$31,481	\$27,099	-14%
Standard Deviation		\$3,866	\$1,446	-63%
Reconciled Value/Unit Value:			\$27,000	
Subject Size:	Acres		26.2577	
Indicated Value:			\$708,958	
Reconciled Final Value:			\$710,000	
Seven Hundred Ten Thousand Dollars				

Additional Support

To provide additional support for the final reconciled opinion of value, current listings of residential acreage have also been researched. The property located at 9175 – 9205 Avery Road in Broadview Heights is currently listed for sale. The property consists of three parcels each improved with a single-family house, is zoned for residential use and consists of 20.575 acres. The houses are tenant-occupied and the property is being marketed for redevelopment purposes. The list price is \$770,000 indicating a unit price of \$37,424 per acre, which includes the contributory value of three single-family houses and has been on the market for 260 days.

COST APPROACH

“The cost approach reflects market thinking because market participants relate value to cost. Buyers of real property tend to judge the value of an existing structure not only by considering the prices and rents of similar buildings, but also by comparing the cost to create a new building with optimal physical condition and functional utility.

After gathering all relevant information and analyzing data for the market area, site, and improvements, an appraiser follows a series of steps to derive a value indication by the cost approach. The appraiser will:

1. Estimate the value of the site as though vacant and available to be developed to its highest and best use.
2. Determine which cost basis is most applicable to the assignment: reproduction cost or replacement cost.
3. Estimate the direct (hard) and indirect (soft) costs of the improvements as of the effective appraisal date.
4. Estimate an appropriate entrepreneurial incentive or profit from analysis of the market.
5. Add the estimated direct costs, indirect costs, and entrepreneurial incentive or profit to arrive at the total cost of the improvements.
6. Estimate the amount of depreciation in the improvements and, if necessary, allocate it among the three major categories:
 - physical deterioration
 - functional obsolescence
 - external obsolescence
7. Deduct estimated depreciation from the total cost of the improvements to derive an estimate of their depreciated cost.
8. Estimate the contributory value of any site improvements that have not already been considered. (Site improvements may be appraised at their contributory value—i.e., directly on a depreciated-cost basis—but may be included in the overall cost calculated in Step 3 and depreciated if necessary.)
9. Add land value to the total depreciated cost of all the improvements to develop the market value of the property.

COST APPROACH

10. Adjust for personal property (e.g., furniture, fixtures, and equipment) or intangible assets that are included in the appraisal.
11. Adjust the value conclusion, which reflects the value of the fee simple estate, for the property interest being appraised to arrive at the indicated value of the specified interest in the property.”¹⁰

The Cost Approach was considered and was not developed because the subject consists of vacant land as of the effective date of this report.

¹⁰ The Appraisal of Real Estate, 14th Edition, Appraisal Institute, Chicago, IL 2010, page 568.

INCOME CAPITALIZATION APPROACH

The Income Capitalization Approach is a method in which anticipated future economic benefits are converted into a present value. The Income Capitalization Approach supports two basic methodologies, 1) direct capitalization, which converts a single year's income into an opinion of value through the use of an overall capitalization rate, and 2) discounted cash flow, which considers a series of cash flows over time discounted to derive their present value together with any reversion value or resale proceeds.

Direct capitalization is the most common method of converting income into value and is applicable for properties operating at stabilized occupancy levels with rents and expenses within market tolerances. For purposes of this report the Direct Capitalization method is most appropriate and is developed with the following steps.

- The potential gross income (PGI) is estimated with market rents and is based at 100% occupancy. The market is researched for comparable properties with similar propensities to generate income and similar expense structures such as triple net, modified gross or full service leases.
- A vacancy rate supported by market data and a reasonable estimate of credit loss are deducted from the PGI to derive the effective gross income (EGI).
- Operating expenses and reserves for replacement allowances are deducted from the EGI resulting in the property's net operating income (NOI), which is then capitalized at a rate commensurate with the subject's risk and investor expectations converting its income to an opinion of market value.

The Income Capitalization Approach was considered and was not developed because the subject consists of vacant land as of the effective date of this report.

CONCLUSION(S) & RECONCILIATION OF VALUE

Approach Conclusions:	As Is
Sales Comparison Approach:	
As vacant: (Land only)	\$710,000
As improved:	N/A
Cost Approach:	N/A
Income Capitalization Approach:	N/A
Considering the subject consists of vacant land as of the effective date of this report, the Sales Comparison Approach is considered most applicable.	
Based on all analyses completed in this report and the strengths and weaknesses of the applicable approaches to value, the final reconciled opinion(s) of value are:	
Current "As-Is" opinion of market value of the Fee Simple interest as of August 30, 2018	
\$710,000	
Seven Hundred Ten Thousand Dollars	

ADDENDA A: APPRAISER QUALIFICATIONS & DISCLOSURE

Douglas J. Firca, MAI Appraiser

Education

John Carroll
University
B.S.B.A. Finance
Minor: Economics

Professional Affiliations

Appraisal Institute,
MAI designation

Certified General
Appraiser, State of
Ohio

Ohio Chapter
Appraisal Institute,
Board of Directors

Appraisal Institute,
Region
Representative,
Region V

Douglas J. Firca, MAI joined Buckholz, Caldwell & Associates in 2016 with 15 years of real estate appraisal experience and has an extensive background appraising various property types in the Cleveland Metropolitan Area. Notable property types include:

- Office & retail buildings
- Apartment & multi-family properties
- Industrial buildings & flex space
- Net lease properties
- Places of worship
- Restaurants
- Mixed-use buildings
- Special purpose properties
- Vacant land

Having held multiple positions in the Appraisal Institute on a state & regional basis, Mr. Firca has developed an extensive understanding of the fundamental factors & market dynamics affecting real estate values. This understanding includes not only market value analysis, but also liquidation, assessed, going concern & value in use including both Direct Capitalization & Yield Capitalization (Discounted Cash Flow) methodologies. In addition to providing real estate appraisal services for mortgage financing, tax appeal, estate planning and internal auditing purposes, Mr. Firca has an extensive background in eminent domain projects for the Ohio Department of Transportation, municipalities, Sewer Districts and Cleveland Hopkins International Airport. Notable projects include:

- Opportunity Corridor Project
- Superior Pump Station & Stones Levee
- Combined Sewer Overflow Project
- Hangar analysis for Cleveland Hopkins International Airport
- Medina 42
- E. 140th Street Project

Ranging in terms of size and complexity, all valuation assignments require detailed analyses of right-of-way plans and determination of whether the properties incurred financial damage resulting in a diminution of value as a result of the project.

Previous Appraisal Experience

O.R. Colan Associates – Appraisal Manager

- Oversaw the Cleveland Office to ensure timely completion of eminent domain projects;
- Assisted the State of Ohio & municipalities to determine the final impact to the real estate of eminent domain projects;
- Completed appraisals of multiple properties through entire corridors of varying complexities;
- Completed scenario analyses for municipalities to help determine the most cost effective procedure.

Butler Burgher Group – Senior Appraiser

- Provided valuation analysis for commercial, industrial, special purpose and complex properties;
- Reconciled multiple opinions of value including market, going concern, liquidation & dark values;
- Completed appraisals of investment grade properties including portfolio and net lease properties;
- Developed opinions of value for industrial properties in excess of \$30 million.

Buckholz, Caldwell, Weber & Associates – Appraiser

- Constructed & analyzed discounted cash flow models based on financial analysis & capital market research;
- Analyzed comparable sales transactions along with replacement and reproduction cost models;
- Analyzed and supported income, expense and capitalization rate forecasts for income producing properties.

Continental Valuations – Appraiser

- Worked with a team that successfully completed projects with 100+ parcels for eminent domain purposes;
- Assessed short- and long-term monetary impact of eminent domain projects for a variety of real estate holdings;
- Reviewed and evaluated detailed right-of-way plans identifying financial damages resulting in diminution in values;
- Completed appraisals for the Ohio Department of Transportation and various condemning authorities.

Appraiser Disclosure Statement

In compliance with Ohio Revised Code Section 4763.12 (C)

Name of Appraiser: Douglas J. Firca, MAI

Class of Certification/License: ☒ Certified General
☐ Licensed Residential
☐ Temporary ☐ General ☐ Licensed

Certification/License Number: 2005003714

Scope: This report ☒ is within the scope of my Certification or License
☐ is not within the scope of my Certification or License

Service Provided By: ☒ Disinterested & Unbiased Third Party
☐ Interested & Biased Third Party
☐ Interested Third Party on Contingent Fee Basis

Signature of person preparing and reporting the appraisal.



Douglas J. Firca, MAI

This form must be included in conjunction with all appraisal assignments or specialized services performed by a state-certified or state-licensed real estate appraiser.

State of Ohio
Department of Commerce
Division of Real Estate
Appraiser Section
Cleveland (216) 787-3100 (Fax) (216) 787-4449

**STATE OF OHIO
DIVISION OF REAL ESTATE
AND PROFESSIONAL LICENSING**

**AN APPRAISER LICENSE/CERTIFICATE
has been issued under ORC Chapter 4763 to:**

NAME: Douglas J Firca
LIC/CERT NUMBER: 2005003714
LIC LEVEL: Certified General Real Estate Appraiser
CURRENT ISSUE DATE: 07/02/2018
EXPIRATION DATE: 06/21/2019
USPAP DUE DATE: 06/21/2020